

Company Research

L&T Technology Services

Sector: Engineering and Technology Services | Period: Q2 FY26

RESULT UPDATE

Q2 FY26

October 17, 2025

SOURCE DOCUMENT	DOCUMENT TYPE	RATING	TARGET / CMP	EVIDENCE LINKS
LTTS Q2FY26.pdf	Press Release and...	Not rated	Not disclosed	64

Company Data

NSE Symbol	LTTS
BSE Script Code	540115
Corporate Identity Number (CIN)	L72900MH2012PLC232169
Total Headcount	23,678
Global Design Centers	23
Global Sales Offices	30
Innovation Labs	105
Patents Portfolio	1,601
Market Capitalisation	Not disclosed
Credit Rating	Not disclosed

Shareholding (%)

Shareholding pattern is not disclosed in this document.

Financial Summary

Metric	Q2 FY25	Q1 FY26	Q2 FY26
Revenue	25,729	28,660	29,795
Cost of sales	18,192	20,625	21,462
Gross Profit	7,537	8,035	8,333
Selling, General & Administration Expenses	2,877	3,411	3,425
EBITDA	4,660	4,624	4,908
Depreciation & Amortisation	783	811	926
EBIT	3,877	3,813	3,982
Other Income, net	531	512	498
Income tax expense	1,208	1,164	1,188
Minority Interest	4	4	5

Key Ratios

Metric	Q2 FY25	Q1 FY26	Q2 FY26	FY25
Gross Margin	29.3%	28.0%	28.0%	—
EBITDA Margin	18.1%	16.1%	16.5%	—
EBIT Margin	15.1%	13.3%	13.4%	—
Net Income Margin	12.4%	11.0%	11.0%	—
Free Cash Flow to Net Income (%)	—	—	—	109%

L&T Technology Services reports 16% YoY growth in Q2FY26

L&T Technology Services (LTTS) is a global leader in engineering and technology services and a listed subsidiary of Larsen & Toubro (L&T). The company offers design, development, testing, and sustenance services across products and processes for clients across Mobility, Sustainability, and Tech segments.

- Revenue reached Rs. 29,795 million for the quarter, registering growth of 15.8% YoY and 4.0% QoQ.
- Net profit for Q2FY26 stood at Rs. 3,287 million, reflecting growth of 2.8% YoY and 4.1% QoQ.
- USD revenue reached \$337 million, representing constant currency growth of 10.4% YoY and 1.3% QoQ.
- The company achieved a record high large deal total contract value of near-USD 300 million during the quarter.
- The Board declared an Interim Dividend of Rs. 18 per share with a record date of October 27, 2025.

Outlook

LTTS expects both revenue and EBIT margins to see an improvement in H2 compared to H1 of FY26, aspires for double-digit growth in FY26, and maintains its medium-term outlook of USD 2 Bn revenue.

Quarterly Financials (Amount in Rs. million)

Amount in Rs....	Q2 FY26	Q2 FY25	YoY	Q1 FY26	QoQ
Revenue	29,795	25,729	15.8%	28,660	4.0%
Cost of sales	21,462	18,192	—	20,625	—
Gross Profit	8,333	7,537	10.6%	8,035	3.7%
Selling, General & Administration Expenses	3,425	2,877	—	3,411	—
EBITDA	4,908	4,660	5.3%	4,624	6.1%
Depreciation & Amortisation	926	783	—	811	—
EBIT	3,982	3,877	2.7%	3,813	4.4%
Other Income, net	498	531	—	512	—
Income tax expense	1,188	1,208	—	1,164	—
Minority Interest	5	4	—	4	—
Net Income	3,287	3,196	2.8%	3,157	4.1%
Gross Margin	28.0%	29.3%	—	28.0%	—
EBITDA Margin	16.5%	18.1%	—	16.1%	—

A dash means the document does not disclose that cell. Growth columns are printed only where the document states them and they reconcile with the reported figures.

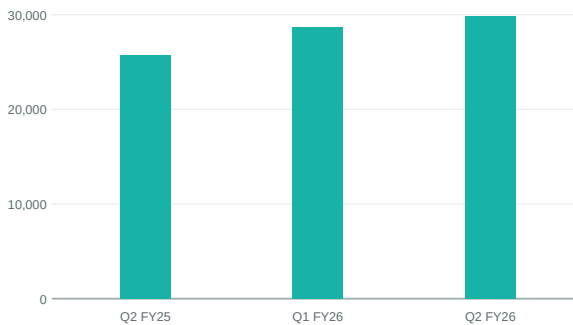
Key Highlights

- LTTS signed a \$100 million multi-year agreement in its Sustainability segment with a U.S.-based industrial equipment manufacturer operating in the semiconductor value chain.
- In the Tech segment, LTTS was awarded a ~\$60 million multi-year program by a U.S.-based provider of wireless telecommunications services.
- The Sustainability segment grew 3.0% sequentially and 12.6% annually, now holding a USD 50 Mn account on an annual run-rate basis.
- The company's patent filings crossed the 1,600 mark to 1,601, including 216 patents in AI/Gen AI.
- LTTS announced a multi-year membership agreement with the MIT Media Lab to collaborate on AI-led innovations across Mobility, Sustainability, and Tech segments.

Disclosed Trends

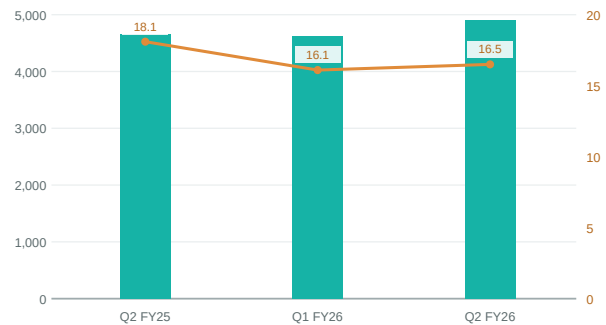
Revenue

Rs. million



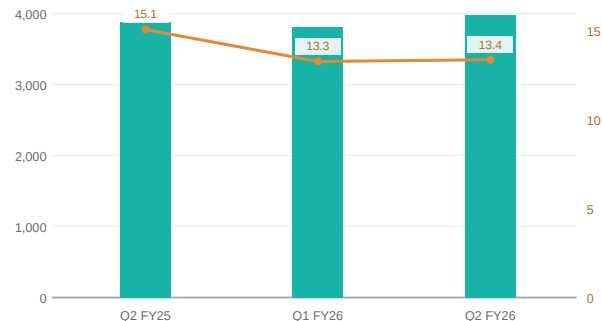
EBITDA

Rs. million · line: EBITDA Margin (%)



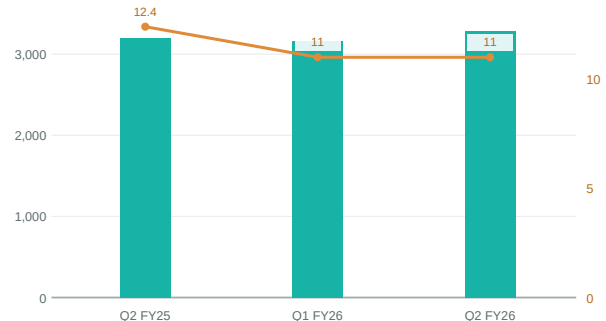
EBIT

Rs. million · line: EBIT Margin (%)



Net Income

Rs. million · line: Net Income Margin (%)



Segment Performance

Metric	Q2 FY25	Q1 FY26	Q2 FY26
Mobility	35.5%	29.6%	29.0%
Sustainability	30.8%	30.8%	31.6%
Tech	33.7%	39.6%	39.4%
North America	52.5%	54.1%	54.7%
Europe	18.4%	17.1%	17.3%
India	21.9%	21.0%	21.5%
Rest of the World	7.2%	7.8%	6.5%

Stated Targets & Guidance

- Expect both revenue and EBIT margins to see an improvement in H2 compared to H1 of FY26.
- Aspire for a double-digit growth in FY26 and reiterate medium-term outlook of USD 2 Bn revenue.

Consolidated Financials

Every cell below was matched back to a page of LTTS Q2FY26.pdf. Columns follow the periods each statement is actually reported over, which may differ between statements. A dash means that cell is not disclosed; a quarterly document typically discloses only part of the full statement set, and the gaps are left rather than filled from outside sources.

Profit & Loss

Metric	Q2 FY25	Q1 FY26	Q2 FY26
Revenue	25,729	28,660	29,795
Cost of sales	18,192	20,625	21,462
Gross Profit	7,537	8,035	8,333
Selling, General & Administra- tion Expenses	2,877	3,411	3,425
EBITDA	4,660	4,624	4,908
Depreciation & Amortisation	783	811	926
EBIT	3,877	3,813	3,982
Other Income, net	531	512	498
Income tax expense	1,208	1,164	1,188
Minority Interest	4	4	5
Net Income	3,196	3,157	3,287
Basic EPS	30.20	29.81	31.02
Diluted EPS	30.12	29.77	30.97

Balance Sheet

Metric	Q2 FY26	FY25
Property and equipment	9,362	9,063
Intangible Assets and Goodwill	13,673	13,667
Accounts Receivable	31,987	29,165
Unbilled Revenues	6,838	5,953
Investments	13,846	13,096
Cash and Cash equivalents	14,918	15,658
Other current assets	3,841	4,262
Other non-current assets	2,851	5,571
Total Assets	97,316	96,435
Shareholders' Funds	61,890	60,800
Other current liabilities	28,670	29,900
Other non-current liabilities	6,572	5,560
Minority Interest	184	175
Total Liabilities	97,316	96,435

Cashflow

Metric	FY25	YTD FY26
Net cash provided by operating activities	14,811	4,809
Capex	1,018	643
Free Cash Flow	13,793	4,166

Ratios

Metric	Q2 FY25	Q1 FY26	Q2 FY26	FY25	YTD FY26
Gross Margin	29.3%	28.0%	28.0%	—	—
EBITDA Margin	18.1%	16.1%	16.5%	—	—
EBIT Margin	15.1%	13.3%	13.4%	—	—
Net Income Margin	12.4%	11.0%	11.0%	—	—
Free Cash Flow to Net Income (%)	—	—	—	109%	65%

Source Coverage

What this particular document did and did not disclose. Blocks marked "Not disclosed" are absent from the source; they are not gaps in the extraction.

Report section	Rows extracted	Source pages cited
Company data	8	p1, p3, p16
Shareholding	Not disclosed	—
Quarterly financials	17	p9
Profit & loss	13	p9
Balance sheet	14	p11
Cashflow	3	p11
Ratios	5	p9, p11
Segments	7	p12
Charted series	4	p9
Narrative highlights	10	p2, p3, p7, p8

Reporting unit

Rs. million. Figures are reproduced in the unit the company reported; no rescaling or currency conversion has been applied.

How This Report Was Produced

1. Parse

The document is read page by page and its table rows are reconstructed from the page layout.
2. Extract

Gemini returns schema-constrained JSON, quoting the page and passage behind every fact.
3. Reconcile

Each quote is matched back to the page, and each figure back to the document text.
4. Render

Only values that survive that check are typeset. Everything else prints as “Not disclosed”.

Scope & Limitations

Ratings and target prices	Not produced. This system does not issue investment recommendations.
Market data	Not fetched. Prices, market capitalisation and valuation multiples appear only if the uploaded document states them.
Estimates and forecasts	Not produced. Forward-looking lines are reproduced only where the company itself published them.
Derived growth rates	Printed only when the document states them and they reconcile with the reported figures.
Missing data	Rendered as “Not disclosed”. No value is inferred, interpolated or carried over from another period.

Source Evidence

Passages from LTTS Q2FY26.pdf that back the figures and statements in this report.

- [p1] NSE Symbol: LTTS
- [p1] BSE Script Code: 540115
- [p1] CIN: L72900MH2012PLC232169
- [p2] Revenue at Rs. 29,795 million; growth of 15.8% YoY and 4.0% QoQ
- [p2] Net profit at Rs. 3,287 million, growth of 2.8% YoY and 4.1% QoQ
- [p2] USD Revenue at \$337 million; growth of 10.4% YoY and 1.3% QoQ in CC terms
- [p2] Our strong momentum of large deal wins continued as we touched a record high TCV of near-USD 300 Mn in the quarter
- [p2] Interim Dividend of Rs. 18 per share; record date October 27, 2025
- [p2] Patent filings have crossed 1,600 mark, 216 patents in AI/Gen AI
- [p3] L&T Technology Services (LTTS) is a global leader in engineering and technology services. A listed subsidiary of Larsen & Toubro (L&T), we offer design, development, testing, and sustenance services across...
- [p3] LTTS announced a multi-year membership agreement with the MIT Media Lab to collaborate on AI-led innovations in its Mobility, Sustainability and Tech segments
- [p3] At the end of Q2 FY26, LTTS' employee strength stood at 23,678.
- [p3] over 23,670 employees across 23 global design centers
- [p3] 30 global sales offices
- [p3] 105 innovation labs
- [p7] The Sustainability segment grew 3.0% sequentially and 12.6% annually and now has a USD 50 Mn account on an annual run-rate basis.
- [p7] we expect both revenue and EBIT margins to see an improvement in H2 compared to H1 of FY26.
- [p7] We aspire for a double-digit growth in FY26 and reiterate our medium-term outlook of USD 2 Bn revenue.
- [p7] With an increased order book and a sharp focus on resilient and profitable growth, we expect both revenue and EBIT margins to see an improvement in H2 compared to H1 of FY26. We aspire for a double-digit...
- [p8] LTTS signed a \$100 million multi-year agreement in its Sustainability segment with a U.S.-based industrial equipment manufacturer operating in the semiconductor value chain
- [p8] In the Tech segment, LTTS was awarded a ~\$60 million multi-year program, by a U.S. based provider of wireless telecommunications services
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- [p9] Other Income, net 531 512 498
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- [p9] Minority Interest 4 4 5
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- [p9] Basic 30.20 29.81 31.02
- [p9] Diluted 30.12 29.77 30.97
- [p11] Property and equipment | 9,063 | 9,362
- [p11] Intangible Assets and Goodwill | 13,667 | 13,673

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